

A BONANZA FOR THE MIDDLE CLASS

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THE GOVERNMENT INCREASED THE TAX EXEMPTION LIMIT TO ₹12 LAKH AND REVISED RATES LOWER UNDER THE NEW TAX REGIME IN THE BUDGET FOR FY26. WITH A NEW INCOME TAX BILL ON THE WAY, WHAT DO THE MEASURES MEAN FOR TAXPAYERS?

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Finance Minister Nirmala Sitharaman finally moved in the Budget for FY26 to douse middle-class ire that it had received nothing in return for being the government's staunchest support base since the National Democratic Alliance's rise to power in 2014.

In one stroke, Sitharaman raised to ₹12 lakh from ₹7 lakh the annual tax exemption threshold under the so-called New Tax Regime (NTR), which she had introduced five years prior, and lowered a range of tax rates, sacrificing an estimated ₹1 lakh crore in revenue.

Sitharaman's Budget was at least partly designed to address perceived middle-class resentment at a time of slowing economic growth that the vital demographic had not received its due from her previous fiscal packages, which had focused on boosting investment in infrastructure, stoking manufacturing and stirring corporate activity and rural spending. Lack of sufficient job creation has been another grouse.

"By increasing income tax exemptions and putting nearly ₹1 lakh crore back into the hands of consumers, disposable income will rise significantly. This move will stimulate growth in key sectors like FMCG (Fast Moving Consumer Goods), real estate, and textiles," says Naveen Malpani, Partner and Consumer Industry Leader at Grant Thornton Bharat.

Indeed, Prime Minister Narendra Modi described the Budget as the most pro-middle class in Indian history, comparing the ex-